Energy Wave

CONFIDENTIAL — DRAFT — FOR DISCUSSION · TERMS NOT SET — EVERY OPEN TERM IS TAGGED

The instrument, term by term. What the deck sets, what counsel sets, what is open.

The deck and one-pager state the amount, the instrument and the runway. The valuation cap, discount and most-favoured-nation terms are “set with counsel” and appear nowhere in the package. This page is the skeleton of the term sheet with every unset term marked exactly as it stands, so that counsel and the founder can fill it without re-deriving the rest. Nothing here is an offer.

1 · TERMS

Term	Value	Source / status
Issuer	EnergyWave, Inc., Delaware C-corporation — **not formed** as of 14 Oct 2026 (founder’s statement, ledger S-38); counsel’s formation work and four confirmations pending. The SAFE cannot be issued until the issuer exists; the file number and date are added on formation.	Deck slide 8; D3 OPEN
Instrument	SAFE — simple agreement for future equity. Form (post-money or pre-money; standard form or counsel’s own) **[Needs Input from Ian or Chip: SAFE form]**	Deck slide 10 DECK
Amount	**$60,000**	Deck slides 10–11; one-pager DECK
Valuation cap	**[Needs Input from Ian or Chip: valuation cap, or “uncapped”]**	One-pager: “terms / cap set with counsel” OPEN
Discount	**[Needs Input from Ian or Chip: discount, or “none”]**	OPEN
Most-favoured-nation	**[Needs Input from Ian or Chip: MFN yes / no]**	OPEN
Pro rata right	**[Needs Input from Ian or Chip: pro rata side letter yes / no]**	OPEN
Investor(s)	**[Needs Input from Ian or Chip: named investor(s) and accredited-investor basis]**	OPEN
Securities exemption	Rule 506(b) or 506(c). The answer governs whether any deck may reach an investor who has not heard from the company first. No general solicitation until counsel answers. **[Needs Input from counsel via Ian: 506(b) or 506(c)]**	Counsel question list (Legal page §5) OPEN
Conversion	Into the next priced equity round — the Seed Round described in 02_Seed_Round — on that round’s terms, subject to the cap and discount above. Trigger definitions, change-of-control and dissolution treatment follow the chosen SAFE form.	Structure DRAFT
Runway purchased	Three months, founder full-time.	Deck slide 10 DECK

Information rights	The program commitment applies: investors receive the same gate reports the public does. Any additional rights **[Needs Input from Ian or Chip: information-rights letter yes / no]**	Program commitments DRAFT
Signatory for the issuer	Ian McLean, **[Needs Input from Ian or Chip: officer title on formation — counsel asked who serves as CEO, Secretary and CFO]**	Truong, 5 Oct 2026 (M-19) OPEN
Strategic path	Structured to pursue strategic investment from In-Q-Tel — a stated intent, not a relationship.	Deck slide 8 DECK

2 · USE OF PROCEEDS (DECK, ESTIMATED ALLOCATION)

Line	Purpose	Amount	Read against counsel's quotes
Entity formation & legal	C-corp + 501(c)(3) setup	$4,000	Covers counsel's ~$2,800 formation estimate (Truong, 5 Oct); not yet the 501(c)(3) application.
IP / patent counsel retainer	K&L Gates — provisional filings	$25,000	Covers a $2,000 coversheet provisional and most of a $10k–$20k non-provisional (Majewski, 5 Oct). No fee-authorization evidence is in the package.
Founder runway	3 months, full-time	$24,000	Founder salary placeholder in the raise model is a separate, later item.
Reserve & travel	Investor / advisor meetings	$7,000	—
Total	**Capital-readiness round**	**$60,000**	"Estimated allocation — confirm IP retainer and founder runway with counsel" (deck slide 11).

3 · CONTEXT THE INVESTOR WILL ASK ABOUT

- **Capital raised to date:** approximately $10,000 including founder contributions, no outside debt or equity (founder's statement, 9 Oct 2026). A competition prize is not capital raised.
- **Pre-seed SAFE:** the September diligence checklist lists "Pre-seed SAFE(s) and terms — Have". Whether one exists, and its terms, are not in the package. **[Needs Input from Ian or Chip: does a prior SAFE exist? If so, its terms]**
- **Not a seed round:** the bridge is small because it is a bridge. The Seed Round is the round it is designed to reach, and its amount and terms are tagged open in 02_Seed_Round.
- **Legal language:** every term above is a draft for counsel; nothing becomes an offer except through definitive documentation.

Sources: Oct-13 deck slides 8, 10–11 and one-pager (S-01, S-02); counsel originals of 5 Oct 2026 (M-19); Approved_Submission_Corrections_2026-10-09 item 6 (M-06); Raise Model DD_Checklist row 7 (M-02); Counsel_Questions_Consolidated (M-03b); DECISIONS.md D1, D3, D5.